

Investment Memorandum: Urban Hospitality Asset (Ioannina)

1. Physical Characteristics and Area Breakdown

Data verified directly from original architectural conversion plans. The asset is situated at a highly strategic commercial intersection in the center of Ioannina, located exactly 200 meters from the city's landmark historical site — the Byzantine Castle (Kastro). The building does not include a basement level; all functional and service areas are distributed across above-ground floors.

- **Ground Floor / Isogeo (99.02 m²):** Public and reception area of the property. Includes a main entrance vestibule, lobby with a reception desk, a salon/waiting lounge, an internal bar, public restrooms, the central staircase, passenger elevator shaft, and a small open-air central atrium.
- **Mezzanine / Semi-Floor (13.09 m²):** Technical service layer located between the ground floor and the residential levels. Fully designated for an automated in-house laundry facility with a net workspace area of 10.50 m².
- **Typical Residential Floors (2 levels, 372.92 m² total / 186.46 m² per floor):** Each floor contains 7 fully equipped rooms with a combined capacity of 15 beds per floor (total 14 rooms / 30 beds on typical levels). Every room features an individual en-suite bathroom with a shower or bathtub. Each floor also includes a dedicated utility/cleaning storage room of 4.00 m².
 - Room 1 (Triple) — 15.40 m²
 - Room 2 (Double) — 12.04 m²
 - Room 3 (Double) — 13.96 m²
 - Room 4 (Double) — 13.72 m²
 - Room 5 (Double) — 11.16 m²
 - Room 6 (Single) — 11.48 m²
 - Room 7 (Triple) — 15.50 m²
- **Rooftop / Δώμα (186.46 m² total floor area):**
 - **Covered Residential Unit (96.36 m²):** Houses the elevator hall and 2 premium rooms (one double room of 11.48 m² and one triple room of 15.50 m²; total capacity of 5 beds).
 - **Open Exploitable Terrace (90.10 m²):** A quiet, secluded space oriented toward the interior of the city block (facing away from the main commercial traffic), offering an

authentic view over surrounding tiled roofs and traditional urban architecture.

Total Inventory: 16 rooms / 35 beds.

2. Investment Capital Structure (Total CAPEX)

The investment basis is identical for both proposed operating strategies. It comprises the purchase price, all statutory transfer taxes, notary fees, legal costs, and a comprehensive budget for building-wide mechanical, electrical, plumbing (MEP) systems replacement and high-end interior outfitting.

Capital Component	Amount (€)
Property Acquisition (Purchase)	1,250,000
Taxes, Legal, and Closing Fees (Closing, 7% total)	87,500
Modernization and Fit-out Budget (Renovation)	314,300
TOTAL CAPEX	1,651,800

3. Scenario 1: Boutique Hotel Model (Hospitality Strategy)

A short- and mid-term accommodation concept tailored to upscale corporate travelers from Ioannina's growing technology cluster and cultural tourists.

- **Operational Strategy:** The property is managed via a professional third-party operator. Operational expenses (OPEX) are optimized through the in-house laundry hub. The 90.10 m² rooftop terrace is configured as a secluded courtyard-style lounge bar ("Secret Courtyard Garden"), serving as an independent, high-margin revenue stream targeting residents and the local expat community.
- **Performance Assumptions (Conservative Stress-Test):**
 - Average Daily Rate (ADR): €120
 - Annual Occupancy Rate: 60%
- **Financial Metrics:**

- Projected Annual NOI (Net Operating Income): **€200,373**
- Target ROI (100% Equity): **12.13%**

4. Corporate Long-Term Rental Model (Residential Strategy)

A conservative, operationally lean asset management model focusing on predictable, passive cash flow from international IT professionals.

The entire building is leased on long-term residential contracts (12+ months). All utility and operational consumption costs are passed directly to the tenants. Management is streamlined through a single local property agency.

Two structural options are available for the roof terrace space under this model:

- **Option A: Shared Residential Amenity**

The rooftop terrace is curated as a private green courtyard garden for the exclusive use of building residents. It generates no direct revenue but acts as the primary market justification for securing the premium rent tier.

- Projected Annual NOI: €127,488
- Target ROI: 7.72%

- **Option B: Independent Commercial Roof Lease**

The 90.10 m² open terrace is leased under a separate commercial contract to a third-party operator for a quiet courtyard cocktail lounge or private co-working cafe at a fixed rate of €1,200 per month. The investor captures predictable upside with zero hospitality or inventory risk.

- Additional Commercial Roof Income: €14,400 / year
- Total Projected Annual NOI: **€141,888** (€127,488 + €14,400)
- Target ROI: **8.59%**

5. Strategic Comparison Matrix

Financial & Operational Metrics	Scenario 1: Boutique Hotel (Stress-Model)	Scenario 2: Long-Term Rental (Option B)
Total Capital Investment (CAPEX)	€1,651,800	€1,651,800
Projected Occupancy	60% (Daily turnover)	95% (Long-term leases)

Financial & Operational Metrics	Scenario 1: Boutique Hotel (Stress-Model)	Scenario 2: Long-Term Rental (Option B)
Pricing Unit Baseline	ADR €120 / night	€800 / month per room
Rooftop Revenue Treatment	Integrated into hotel F&B margin	€14,400 / year (Fixed commercial lease)
Net Operating Income (Annual NOI)	€200,373	€141,888
Unleveraged Yield (ROI)	12.13%	8.59%
Management Intensity	Moderate oversight via Operator	Minimal via single local agent

Executive Summary: The selection between these asset models rests entirely on the investor's risk-reward profile. Scenario 1 yields a high-performing 12.13% return under a professional hospitality structure even when subjected to a conservative 60% occupancy stress-test. Scenario 2 establishes a stable, entirely passive yield of 8.59% secured by long-term residential occupancy from tech sector professionals and a fixed commercial sub-lease of the terrace space.